

Kweichow Moutai Co. Ltd. (A)

1Q a mixed bag; strong i-Moutai with margin pressure set to ease ahead

Reiterate Rating: BUY | PO: 1,630 CNY | Price: 1,458 CNY

1Q a mixed bag; i-Moutai strength vs. margin erosion

1Q was largely in-line, with revenue/NPAT +6.3%/+1.5%. Revenue resilience was owing to i-Moutai, though margins declined due to an unfavorable mix shift and lower ASPs of customized and series liquor. We broadly maintain estimates and reiterate Buy with PO of RMB1630 for three reasons. 1) Easier comps should emerge, as the industry will lap the anti-graft campaign from May and P&L cleanup from 2H. 2) We view Moutai as the most defensive proxy for a likely bottoming cycle, with better visibility on branding and channel reforms, which have driven a recovery in sell-out and channel profitability & cash flow, alongside stabilization of channel prices. In contrast, other large-cap peers all face their own issues. 3) Moutai offers a 3.6% dividend yield, or c.4% total shareholder yield, including share buyback, which appears attractive in a low-interest-rate environment.

2026E: sales +6%; margin pressure to ease ahead

We expect FY26 sales to be +6%, with 2Q growth to be below 1Q on a low season, but 2H to accelerate on a low base (revenue was +11%/+7%/flat/-19% in 1Q/2Q/3Q/4Q25). We expect margin erosion to ease ahead, due to 1) Moutai's recent Feitian price hike, 2) April rollout of consignment sales for customized liquor and 3) easy comps by 2H.

1Q26 result highlights: decoding the mix change

1) Moutai liquor's sales were +5.6%. We estimate Feitian to be +70% and customized liquor to be -60-70%. 2) Series liquor sales were +12.2%. 3) Customer advance payment was -66% YoY/-62% QoQ, due to a mix shift to DTC sales. 4) By channel, DTC sales were +27% YoY (55% of sales), 73% of which was i-Moutai (+267% to RMB21.55bn). We estimate 75-80% of i-Moutai 1Q sales to be Feitian. Wholesale was -11% YoY, partly on lower shipment to SOE distributors, per channel checks. 5) Gross margin was -331bp to 74.9%, as we estimate customized liquor (with higher margins) dropped to <20% of Moutai liquor sales (vs. c.50% in 2025) after recent channel reforms. S&D/sales was largely flat at 2.9%, and G&A/sales was -29bp to 3.5%. As a result, operating margin was -338bp to 68.6%.

Estimates (Dec) (CNY)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	86,228	82,320	84,833	90,683	96,209
EPS	68.64	65.74	67.53	72.19	76.59
EPS Change (YoY)	15.4%	-4.2%	2.7%	6.9%	6.1%
Consensus EPS (Visible Alpha)			69.33	73.78	78.62
Dividend / Share	51.48	51.93	52.84	56.48	59.93
Free Cash Flow / Share	69.88	46.63	66.03	70.16	78.88
Valuation (Dec)					
P/E	21.25x	22.19x	21.60x	20.20x	19.04x
Dividend Yield	3.53%	3.56%	3.62%	3.87%	4.11%
EV / EBITDA*	13.90x	14.38x	13.95x	13.02x	12.28x
Free Cash Flow Yield*	4.81%	3.20%	4.53%	4.81%	5.41%

* For full definitions of *IQmethod*SM measures, see page 9.

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Refer to important disclosures on page 10 to 12. Analyst Certification on page 6. Price Objective Basis/Risk on page 6.

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Timestamp: 26 April 2026 04:30PM EDT

27 April 2026

Equity

Key Changes

(CNY)	Previous	Current
2026E EPS	68.99	67.53
2027E EPS	72.43	72.19
2028E EPS	76.30	76.59
2026E EBITDA (m)	122,170.7	119,625.3
2027E EBITDA (m)	128,546.6	128,130.1
2028E EBITDA (m)	135,333.5	135,841.0

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Stock Data

Price	1,458 CNY
Price Objective	1,630 CNY
Date Established	30-Oct-2025
Investment Opinion	B-1-7
52-Week Range	1,322 CNY-1,645 CNY
Mrkt Val / Shares Out (mn)	267,242 USD / 1,252.3
Market Value (mn)	1,826,424 CNY
Average Daily Value (mn)	741.35 USD
Free Float	30.0%
BofA Ticker / Exchange	XHJBF / SHH
Bloomberg / Reuters	600519 CH / 600519.SS
ROE (2026E)	33.4%
Net Dbt to Eqty (Dec-2025A)	-52.3%

Acronyms

DTC: direct to consumer; S&D: selling & distribution; G&A: general & admin; SOE: state-owned enterprise

iQprofileSM Kweichow Moutai Co. Ltd. (A)

Key Income Statement Data (Dec)

(CNY Millions)

	2024A	2025A	2026E	2027E	2028E
Sales	174,144	172,054	182,505	191,780	201,677
Gross Profit	133,428	129,808	133,480	142,044	150,472
Sell General & Admin Expense	(15,173)	(15,764)	(15,915)	(16,321)	(17,143)
Operating Profit	118,323	114,169	117,691	125,849	133,455
Net Interest & Other Income	1,315	586	567	564	661
Associates	NA	NA	NA	NA	NA
Pretax Income	119,639	114,755	118,259	126,413	134,116
Tax (expense) / Benefit	(30,304)	(29,445)	(30,344)	(32,436)	(34,413)
Net Income (Adjusted)	86,228	82,320	84,833	90,683	96,209
Average Fully Diluted Shares Outstanding	1,256	1,252	1,256	1,256	1,256

Key Cash Flow Statement Data

Net Income	86,228	82,320	84,833	90,683	96,209
Depreciation & Amortization	1,721	1,893	1,934	2,281	2,386
Change in Working Capital	8,549	9,782	5,981	5,533	596
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	(4,034)	(32,473)	(6,564)	(7,133)	3,087
Cash Flow from Operations	92,464	61,522	86,184	91,364	102,278
Capital Expenditure	(4,679)	(3,128)	(3,500)	(3,500)	(3,500)
(Acquisition) / Disposal of Investments	(5,745)	(62,097)	0	0	0
Other Cash Inflow / (Outflow)	8,639	33,583	0	0	0
Cash Flow from Investing	(1,785)	(31,642)	(3,500)	(3,500)	(3,500)
Shares Issue / (Repurchase)	NA	NA	NA	NA	NA
Cost of Dividends Paid	(70,951)	(67,242)	(66,170)	(70,733)	(75,043)
Cash Flow from Financing	(71,068)	(73,427)	(66,170)	(70,733)	(75,043)
Free Cash Flow	87,785	58,395	82,684	87,864	98,778
Net Debt	(163,380)	(132,748)	(149,262)	(166,394)	(190,129)
Change in Net Debt	NA	NA	NA	NA	NA

Key Balance Sheet Data

Property, Plant & Equipment	21,871	22,488	26,526	27,745	28,859
Other Non-Current Assets	25,346	28,828	26,028	25,682	25,319
Trade Receivables	2,003	4,460	2,650	2,604	2,921
Cash & Equivalents	186,483	150,787	167,301	184,432	208,167
Other Current Assets	63,240	97,272	106,350	112,189	113,125
Total Assets	298,945	303,835	328,854	352,653	378,391
Long-Term Debt	NA	NA	NA	NA	NA
Other Non-Current Liabilities	417	265	265	265	265
Short-Term Debt	23,103	18,038	18,038	18,038	18,038
Other Current Liabilities	33,413	31,572	34,846	35,401	36,479
Total Liabilities	56,933	49,876	53,150	53,705	54,782
Total Equity	242,011	253,959	275,704	298,948	323,609
Total Equity & Liabilities	298,945	303,835	328,854	352,653	378,391

iQmethodSM - Bus Performance*

Return On Capital Employed	35.7%	31.8%	31.1%	30.8%	30.3%
Return On Equity	38.4%	34.5%	33.4%	33.2%	32.7%
Operating Margin	67.9%	66.4%	64.5%	65.6%	66.2%
EBITDA Margin	68.9%	67.5%	65.5%	66.8%	67.4%

iQmethodSM - Quality of Earnings*

Cash Realization Ratio	1.1x	0.7x	1.0x	1.0x	1.1x
Asset Replacement Ratio	2.7x	1.7x	1.8x	1.5x	1.5x
Tax Rate (Reported)	25.3%	25.7%	25.7%	25.7%	25.7%
Net Debt-to-Equity Ratio	-67.5%	-52.3%	-54.1%	-55.7%	-58.8%
Interest Cover	NM	NM	NM	NM	NM

Key Metrics

* For full definitions of iQmethodSM measures, see page 9.

Company Sector

Distillers

Company Description

With over 800 years of history, Moutai is the largest baijiu company in China, with over 50% volume share in premium-end baijiu. Its core brand, Moutai (including 53-, 43- and 38-proof), contributes 91% of revenue. The remaining sales come from other series, represented by Moutai Prince, Ying Bin and Lai Mou. It is the most well-known baijiu brand globally and is positioned at the premium end of the market with the highest ASP and gross margin. The firm was listed in SHEx in August 27, 2001.

Investment Rationale

We rate Moutai Buy. The company enjoys indisputable industry leadership, brand strength and scarcity value, which have led to much more EPS buffers, a smoother performance cycle amid the downturn and healthier channel dynamics.

Stock Data

Price to Book Value

6.9x

Results at a glance

Exhibit 1: Moutai: Earnings revision

We trim 26E/27E EPS by -2.1%/-0.3%

RMB mn	2026E			2027E		
	Old	New	YoY +/-	Old	New	YoY +/-
Sales	180,610	182,505	1.0%	189,588	191,780	1.2%
Cost of sales	(18,416)	(20,007)	8.6%	(18,516)	(19,626)	6.0%
Taxes and Surcharge	(27,091)	(29,018)	7.1%	(28,438)	(30,109)	5.9%
Gross profit	134,926	133,305	-1.2%	142,458	141,868	-0.4%
Financial Income / (Expenses)	800	800	0.0%	800	800	0.0%
Selling and distribution costs	(7,044)	(7,592)	7.8%	(8,342)	(7,978)	-4.4%
General and Administrative expenses	(7,947)	(8,322)	4.7%	(8,152)	(8,342)	2.3%
Operating profit (EBIT)	120,861	118,316	-2.1%	126,890	126,473	-0.3%
Non-Operating Income	79	79	1.0%	83	84	1.2%
Non-Operating Expenditure	(135)	(136)	1.0%	(142)	(143)	1.2%
Profit before taxation	120,805	118,259	-2.1%	126,830	126,413	-0.3%
Taxation	(30,997)	(30,344)	-2.1%	(32,543)	(32,436)	-0.3%
Minority interest	(3,148)	(3,082)	-2.1%	(3,305)	(3,294)	-0.3%
Profit for the year attributable to company	86,660	84,833	-2.1%	90,982	90,683	-0.3%
Gross margin	74.7%	73.0%	-166 bps	75.1%	74.0%	-117 bps
Operating margin	66.9%	64.8%	-209 bps	66.9%	65.9%	-98 bps
Net profit margin	48.0%	46.5%	-150 bps	48.0%	47.3%	-70 bps
Effective Tax rate	25.7%	25.7%	0 bps	25.7%	25.7%	0 bps

Source: BofA Global Research estimates

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Focus charts

Exhibit 2: Moutai: 1Q26 results at a glance

1Q26 results largely in line

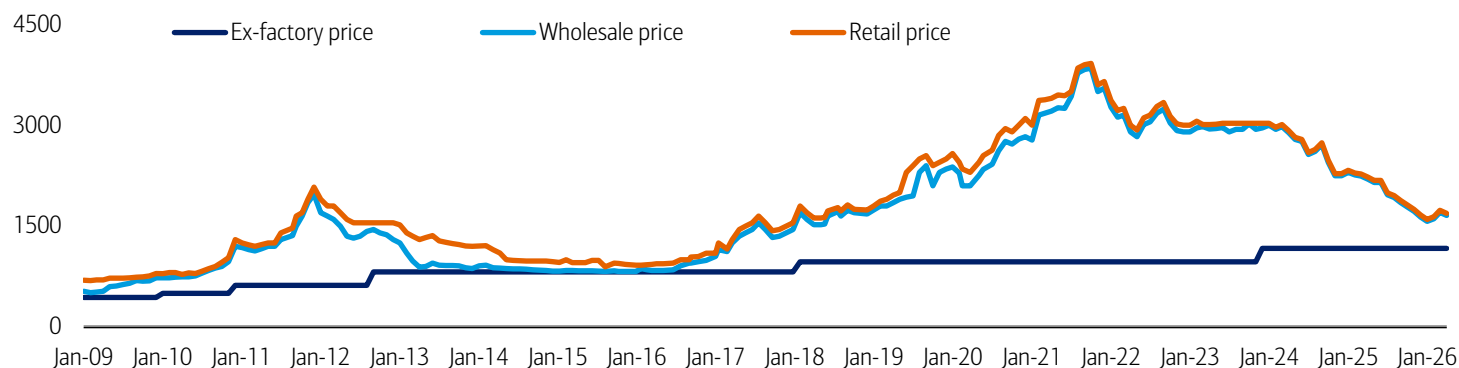
RMB mn	1Q25	1Q26	YoY%
Turnover	51,443	54,703	6.3%
Liquor Revenue	50,580	53,886	6.5%
COGS	(4,061)	(5,521)	35.9%
Sales Tax and Surcharges	(7,165)	(8,227)	14.8%
Gross Profit	40,217	40,955	1.8%
Other Operating Income	26	26	-0.5%
Selling & Distribution	(1,495)	(1,606)	7.4%
General & Admin Expense	(1,946)	(1,913)	-1.7%
Finance Expense	283	116	-59.0%
Operating Profit	37,037	37,537	1.4%
Non-operating Income	16	7	-58.8%
Non-operating Expenses	(22)	(1)	-97.6%
Profit Before Tax	37,031	37,543	1.4%
Income Tax	(9,257)	(9,389)	1.4%
Minority	(927)	(911)	-1.7%
Net Profit	26,847	27,243	1.5%
Gross Margin	78.2%	74.9%	-331 bps
Operating Margin	72.0%	68.6%	-338 bps
Net Margin	52.2%	49.8%	-239 bps
Effective Tax Rate	25.0%	25.0%	1 bps

Source: Company

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Exhibit 3: Moutai's wholesale prices edged up to c.RMB1660/bottle (by case) in Mar 2026 vs. end-Dec 2025 (c. RMB1570), and Feitian's ex-factory price rose from RMB1169 to RMB1269 (+8.6%) in Mar 31, 2026

Moutai: Trend of ex-factory, wholesale and retail price (RMB/bottle)

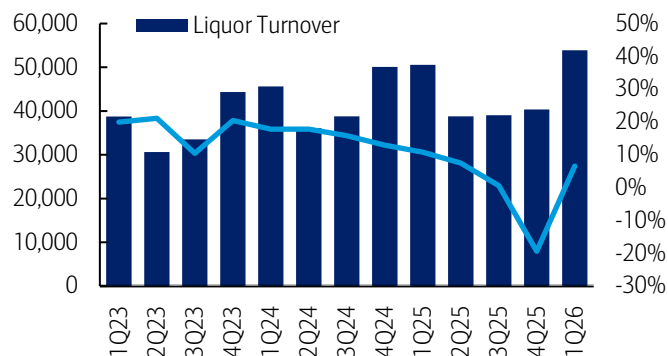


Source: Company, BofA Global Research estimates

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Exhibit 4: Moutai: Quarterly Liquor Sales (RMBmn) and YoY %

Revenue was +6.5% YoY in 1Q26

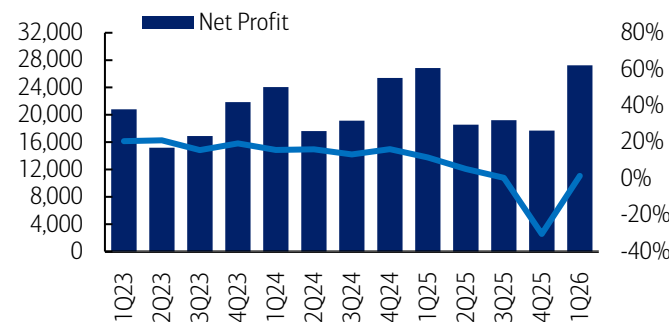


Source: Company, BofA Global Research

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Exhibit 5: Moutai: Quarterly Net Profit (RMBmn) and YoY%

Net profit was +1.5% in 1Q26

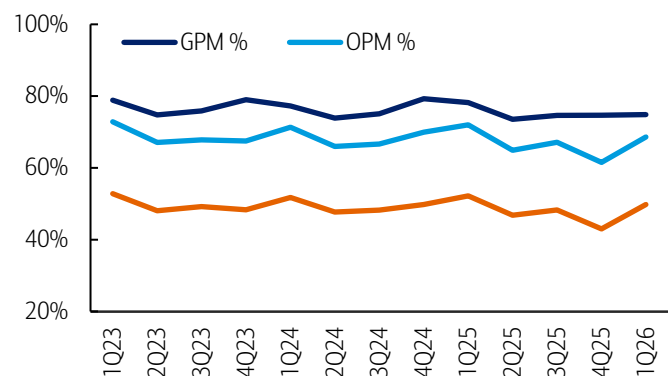


Source: Company, BofA Global Research

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Exhibit 6: Moutai: Margin trend - Quarterly

Margins saw contraction YoY in 1Q26

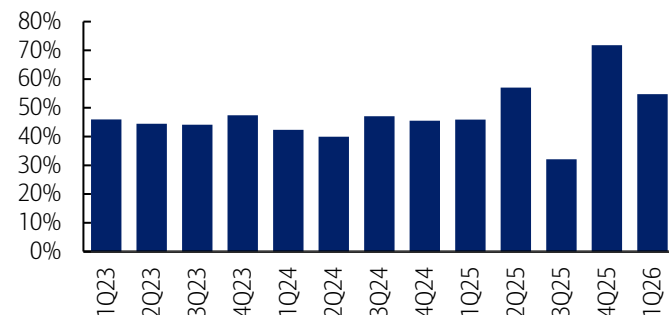


Source: Company, BofA Global Research

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Exhibit 7: Moutai: Direct sales as % of total sales

Higher share of direct sales in 1Q26 vs. 1Q25



Source: Companies, BofA Global Research

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Financials

Exhibit 8: Moutai: Earnings Forecast

Stable earnings growth

(RMBmn)	2024	2025	2026E	2027E	2028E
Turnover	174,144	172,054	182,505	191,780	201,677
Cost of Goods Sold	-13,789	-14,892	-20,007	-19,626	-19,542
Taxes and Surcharge	-26,926	-27,354	-29,018	-30,109	-31,663
Gross Profit	133,323	129,632	133,305	141,868	150,296
Selling & distribution expenses	-5,639	-7,253	-7,592	-7,978	-8,470
Administrative expenses	-9,534	-8,510	-8,322	-8,342	-8,672
Financial Income / (Expenses)	1,470	815	800	800	900
Operating Profit	119,689	114,809	118,316	126,473	134,179
Non-Operating Income	71	75	79	84	88
Non-Operating Expenditure	-121	-129	-136	-143	-151
Profit pre tax	119,639	114,755	118,259	126,413	134,116
Income Tax	-30,304	-29,445	-30,344	-32,436	-34,413
Minority interest	-3,107	-2,990	-3,082	-3,294	-3,495
Net profit	86,228	82,320	84,833	90,683	96,209

Source: BofA Global Research estimates, company

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Exhibit 9: Moutai: Cash Flow

Solid cash flow generation

(RMBmn)	2024	2025	2026E	2027E	2028E
EBITDA	121,774	117,068	120,578	129,100	136,928
Chg in Working Capital	-8,549	-9,782	-5,981	-5,533	-596
Other	-20,761	-45,764	-28,414	-32,202	-34,054
Gross cashflow	92,464	61,522	86,184	91,364	102,278
Net Interest Expense	1,470	815	800	800	900
Net Operating Cashflow	92,464	61,522	86,184	91,364	102,278
Capex	-4,679	-3,128	-3,500	-3,500	-3,500
Other Investing Cashflow	2,894	-28,514	0	0	0
Net Investing Cashflow	-1,785	-31,642	-3,500	-3,500	-3,500
Free Cashflow	87,785	58,395	82,684	87,864	98,778
Dividend paid to shareholders	-70,951	-67,242	-66,170	-70,733	-75,043
Other Financing Cashflow	-116	-6,185	0	0	0
Net Financing Cashflow	-71,068	-73,427	-66,170	-70,733	-75,043
Chg in Cash & bank overdraft	19,611	-43,547	16,514	17,131	23,735
Cash & cash equivalents @ Beginning	150,360	169,970	150,787	167,301	184,432
Ending Cash Balance	169,970	126,426	167,301	184,432	208,167

Source: BofA Global Research estimates, company

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Exhibit 10: Moutai: Balance Sheet

Strong balance sheet

(RMBmn)	2024	2025	2026E	2027E	2028E
Cash and cash equivalents	186,483	150,787	167,301	184,432	208,167
Inventory	54,343	61,427	70,122	76,134	76,988
Trade Receivables	2,003	4,460	2,650	2,604	2,921
Prepaid expense	27	7	193	17	94
Others - Investments	30	36	91	96	101
Total Current Assets	251,727	252,519	276,300	299,226	324,213
Property, plant and equipment	21,871	22,488	26,526	27,745	28,859
Intangible assets	8,850	8,686	8,357	8,012	7,649
Other Non-current Assets	16,496	20,142	17,671	17,671	17,671
Total Non-Current Assets	47,218	51,316	52,554	53,427	54,178
Total Assets	298,945	303,835	328,854	352,653	378,391
Other payables and accruals	5,429	5,298	5,298	5,298	5,298
Accounts payables	3,515	4,007	5,092	4,910	5,048
Tax payable	7,718	7,697	8,014	8,444	8,920
Unearned revenue	9,592	8,007	9,994	10,288	10,709
Payroll Payable	5,824	5,523	5,409	5,423	5,463
Dividend payable	1,335	1,039	1,039	1,039	1,039
Borrowings					
Total Current Liabilities	56,516	49,610	52,884	53,439	54,517
Special Accounts Payable	417	265	265	265	265
Total Non-Current Liabilities	417	265	265	265	265
Total Liabilities	56,933	49,876	53,150	53,705	54,782
Shareholders' Equity	242,011	253,959	275,704	298,948	323,609

Source: BofA Global Research estimates, company

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Exhibit 11: Moutai: Ratio Analysis

Healthy growth, margin and return trends

(RMBmn)	2024	2025	2026E	2027E	2028E
Profit and Loss Ratio					
Sales Growth (%)	15.7	-1.2	6.1	5.1	5.2
Gross Margin (%)	76.6	75.3	73.0	74.0	74.5
EBITDA/Sales (%)	69.9	68.0	66.1	67.3	67.9
Operating Margin (%)	68.7	66.7	64.8	65.9	66.5
Net Margin (%)	49.5	47.8	46.5	47.3	47.7
Effective Tax Rate (%)	25.3	25.7	25.7	25.7	25.7
Earnings Growth (%)	15.4	-4.5	3.1	6.9	6.1
Balance Sheet Ratios					
Net Debt / (Cash)	-186,483	-150,787	-167,301	-184,432	-208,167
Net Debt/Equity (%)	-77	-59	-61	-62	-64
ROIC (%)	49.7	45.3	43.0	42.4	41.5
Return on Equity (%)	35.6	32.4	30.8	30.3	29.7
Return on Assets (%)	28.8	27.1	25.8	25.7	25.4
Receivable Days	2	7	7	5	5
Inventory Days	1,334	1,419	1,200	1,360	1,430
Payable Days	87	92	83	93	93
Working Capital Cycle	1,227	1,313	1,104	1,253	1,323

Source: BofA Global Research estimates, company

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Price objective basis & risk

Kweichow Moutai Co. Ltd. (XHJBF)

Our price objective of RMB1,630, based on a 50/50 blend of P/E (RMB1,518) and DCF (RMB1,742). We apply 22x 2026E to our P/E valuation, 0.5x standard deviation below historical average on macro uncertainties. We apply 11% WACC, 1 beta and 2.5% terminal growth to our DCF calculation.

Upside/Downside risks are (1) faster or slower-than-expected China economic growth, (2) rapid or slow recovery of China's property market, (3) conditions of China equity market and asset prices (given Moutai's exposure to investment demand), and (4) favorable or unfavorable government policy related to either stimulus or anti-graft).

Analyst Certification

I, Chen Luo, CFA, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	ABC-MART	AMKYF	2670 JP	Arashi Nishizawa
	AmorePacific Corp	AMRPF	090430 KS	Ahyung Cho
	and ST HD	PNMOF	2685 JP	Arashi Nishizawa
	Anker Innovations	XAIF	300866 CH	Yoyo Pang
	Anta Sports	ANPDF	2020 HK	Lucy Yu
	APR	XLTF	278470 KS	Ahyung Cho
	Asics	ASCCF	7936 JP	Arashi Nishizawa
	BGF Retail	XWAHF	282330 KS	Ahyung Cho
	Bosideng	BSDGF	3998 HK	Lucy Yu
	BUD APAC	BDWBF	1876 HK	Chen Luo, CFA
	Busy Ming Group	XYBMF	1768 HK	Jack Chen
	Chacha Food	XCCLF	002557 CH	Jack Chen
	China Pet Foods	XDEEF	002891 CH	Alice Ma
	China Resources Beer (Holdings) Co Ltd	CRHKF	291 HK	Chen Luo, CFA
	Coca-Cola Bottlers Japan Holdings	CCOJF	2579 JP	Manabu Sumoge
	Cosmax	XCRSF	192820 KS	Zoe (Jung-ae) Chun
	Cosmos Pharmaceutical	CSMYF	3349 JP	Arashi Nishizawa
	Dabur India	DBUIF	DABUR IN	Aditya Mathur
	DPC Dash Ltd	DPCDF	1405 HK	Lucy Yu
	Eastroc	XEBSF	605499 CH	Jack Chen
	Eastroc	XEBDF	9980 HK	Jack Chen
	Fast Retailing	FRCOF	9983 JP	Arashi Nishizawa
	Fast Retailing	FRCOY	FRCOY US	Arashi Nishizawa
	Feng Tay	FTGYF	9910 TT	Ronald Leung, CFA
	Godrej Consumer Products	XGOCF	GCPL IN	Aditya Mathur
	Goldwin	GWNCF	8111 JP	Arashi Nishizawa
	Gurning	XGHXF	1364 HK	Lucy Yu
	Haier Smart Home Co Ltd	TTEF	600690 CH	Lucy Yu
	Haier Smart Home Co Ltd	HRSHF	6690 HK	Lucy Yu
	Henan Shuanghui Investment & Dev	HSUIF	000895 CH	Chen Luo, CFA
	JINS HOLDINGS	JNDOF	3046 JP	Arashi Nishizawa
	Jubilant FoodWorks	XJUBF	JUBI IN	Aditya Mathur
	Kewpie	KWPCF	2809 JP	Manabu Sumoge
	Kikkoman	KIKOF	2801 JP	Manabu Sumoge
	Kirin Holdings	KNBWF	2503 JP	Manabu Sumoge
	Kobe Bussan	KOBNF	3038 JP	Arashi Nishizawa
	Kolmar Korea	XKKPF	161890 KS	Zoe (Jung-ae) Chun
	KT&G	KTCIF	033780 KS	Ahyung Cho
	Kweichow Moutai Co. Ltd.	XHJBF	600519 CH	Chen Luo, CFA

APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Leela Palaces Hotels & Resorts	XSBFL	THELEELA IN	Aditya Mathur
	Li Ning Co Ltd	LNNGF	2331 HK	Lucy Yu
	Ligao Foods	XLFLF	300973 CH	Jack Chen
	Lion	LIOPF	4912 JP	Kentaro Hosoda
	Mao Geping	XMGO	1318 HK	Lucy Yu
	Marico	MAIOF	MRCO IN	Aditya Mathur
	MatsukiyoCocokara & Co	MSMKF	3088 JP	Arashi Nishizawa
	Mengniu Dairy	CIADF	2319 HK	Chen Luo, CFA
	Midea Group	MGCOF	300 HK	Chen Luo, CFA
	Midea Group Co Ltd	XMGEF	000333 CH	Chen Luo, CFA
	New Oriental Education & Technology	EDU	EDU US	Lucy Yu
	New Oriental Education & Technology	NWOEF	9901 HK	Lucy Yu
	Nien Made Enterprise	XNRBF	8464 TT	Yoyo Pang
	Nitori Holdings	NCLTF	9843 JP	Arashi Nishizawa
	Nongfu Spring	NNFSF	9633 HK	Jack Chen
	PAL Group Holdings	PALZF	2726 JP	Arashi Nishizawa
	Pan Pacific International HD	DQJCF	7532 JP	Arashi Nishizawa
	Pigeon	PIGEF	7956 JP	Kentaro Hosoda
	Roborock Technology	XBTLF	688169 CH	Yoyo Pang
	ROHTO	RPHCF	4527 JP	Kentaro Hosoda
	Ryohin Keikaku	RYKKF	7453 JP	Arashi Nishizawa
	Ryohin Keikaku	RYKKY	RYKKY US	Arashi Nishizawa
	Samsonite International	SMSOF	1910 HK	Jack Chen
	Seven & i Holdings	SVNDF	3382 JP	Arashi Nishizawa
	Shanxi Fen Wine	XCKZF	600809 CH	Chen Luo, CFA
	Shenzhou International	SZHIF	2313 HK	Chen Luo, CFA
	Shinsegae	SDKLF	004170 KS	Ahyung Cho
	Sugi Holdings	SGIPF	7649 JP	Arashi Nishizawa
	Sundrug	SDGCF	9989 JP	Arashi Nishizawa
	Suofeiya Home Collection Co Ltd	XGUZF	002572 CH	Yoyo Pang
	TAL	TAL	TAL US	Lucy Yu
	Titan Company	XNXAF	TTAN IN	Aditya Mathur
	Trial Holdings	XIKRF	141A JP	Arashi Nishizawa
	Tsingtao Brewery	TSGTF	168 HK	Chen Luo, CFA
	Tsingtao Brewery	XTSOF	600600 CH	Chen Luo, CFA
	UNITED ARROWS	UARWF	7606 JP	Arashi Nishizawa
	United Spirits	XUNIF	UNITDSPR IN	Aditya Mathur
	Varun Beverages	XMKDF	VL IN	Aditya Mathur
	Wanchen Group	XFWXF	300972 CH	Jack Chen
	WH Group Limited	WHGRF	288 HK	Chen Luo, CFA
	Yankershop Food	XYNKF	002847 CH	Jack Chen
	Yili Industrial Group	XIDRF	600887 CH	Chen Luo, CFA
	Yum China	YUMC	YUMC US	Chen Luo, CFA
	Yum China	XYUMF	9987 HK	Chen Luo, CFA

NEUTRAL

	Ajinomoto	AJINF	2802 JP	Manabu Sumoge
	Asahi Group Holdings	ASBRF	2502 JP	Manabu Sumoge
	Asian Paints	XSAFF	APNT IN	Aditya Mathur
	Avenue Supermarts	XWCVF	DMART IN	Aditya Mathur
	Britannia Industries	XJNDF	BRIT IN	Aditya Mathur
	China Feihe	CHFLF	6186 HK	Jack Chen
	China Resources Beverage	XCRBF	2460 HK	Jack Chen
	Chow Tai Fook Jewellery	CJWF	1929 HK	Ronald Leung, CFA
	E-Mart	EMRTF	139480 KS	Ahyung Cho
	Foshan Haitian Flavouring & Food Co Ltd	XCMJF	603288 CH	Jack Chen
	Gree Electric Appliances	ZHUHF	000651 CH	Chen Luo, CFA
	GS Retail	XGLTF	007070 KS	Ahyung Cho
	Haidilao International Holding Ltd.	HDALF	6862 HK	Lucy Yu
	Hengan Intl	HEGIF	1044 HK	Yoyo Pang
	Hindustan Unilever	HINLF	HUVR IN	Aditya Mathur
	Hisense Home Appliance	XMBQF	000921 CH	Lucy Yu
	Hisense Home Appliance	HISEF	921 HK	Lucy Yu
	ITC	ITCTF	ITC IN	Aditya Mathur
	Kao	KAOCF	4452 JP	Kentaro Hosoda
	KOSE Holdings	KOSCF	4922 JP	Kentaro Hosoda



APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Kusuri No Aoki Holdings	XADAF	3549 JP	Arashi Nishizawa
	Laopu Gold	XLGBF	6181 HK	Ronald Leung, CFA
	Man Wah Holdings	MAWHF	1999 HK	Yoyo Pang
	MINISO Group Holdings	MNSO	MNSO US	Lucy Yu
	MINISO Group Holdings	XKTAF	9896 HK	Lucy Yu
	Pop Mart	POPMF	9992 HK	Alice Ma
	Proya Cosmetics	XPXCF	603605 CH	Lucy Yu
	Robam Appliance	XVPDF	002508 CH	Lucy Yu
	Suntory Beverage & Food	STBFF	2587 JP	Manabu Sumoge
	Tata Consumer Products	XTCUF	TATACONS IN	Aditya Mathur
	Tingyi	TCYMF	322 HK	Jack Chen
	Topsports International Holding Ltd.	TPSRF	6110 HK	Lucy Yu
	Tsuruha Holdings	TSUSF	3391 JP	Arashi Nishizawa
	Unicharm	UNCHF	8113 JP	Kentaro Hosoda
	Uni-president China	UNPSF	220 HK	Jack Chen
	Wuliangye Yibin	YBWUF	000858 CH	Chen Luo, CFA
	Yamada Holdings	YMDAF	9831 JP	Arashi Nishizawa
	Yonghui Superstores Co Ltd	XQYXF	601933 CH	Lucy Yu
	Yue Yuen	YUEIF	551 HK	Yoyo Pang

UNDERPERFORM

	Anjoy Foods	XSWCF	603345 CH	Jack Chen
	Bairun	XSBZF	002568 CH	Jack Chen
	Colgate-Palmolive India	CPIYF	CLGT IN	Aditya Mathur
	Eclat	ECLAF	1476 TT	Ronald Leung, CFA
	Fuling Zhacai	XSRTF	002507 CH	Jack Chen
	Gambol Pet	XYEDF	301498 CH	Alice Ma
	Giant Manufacturing	GTMUFG	9921 TT	Ronald Leung, CFA
	Hotel Shilla	HSLLF	008770 KS	Ahyung Cho
	Jason Furniture	XVZDF	603816 CH	Yoyo Pang
	Jiangsu Yanghe Brewery	XJBTF	002304 CH	Chen Luo, CFA
	Kobayashi Pharmaceutical	KBYPF	4967 JP	Kentaro Hosoda
	Lai Yih Footwear	XAWWF	6890 TT	Ronald Leung, CFA
	LG H&H	LGHHF	051900 KS	Ahyung Cho
	Lotte Shopping	LOSPF	023530 KS	Ahyung Cho
	Luzhou Laojiao	XMBBF	000568 CH	Chen Luo, CFA
	Makalot Industrial	MAKAF	1477 TT	Ronald Leung, CFA
	Merida Industry Co Ltd	MIUYF	9914 TT	Ronald Leung, CFA
	Mixue Group	XDGRF	2097 HK	Chen Luo, CFA
	Nestle India	XNTEF	NEST IN	Aditya Mathur
	Oppein Home Group	XKXRF	603833 CH	Yoyo Pang
	Pidilite Industries	PDLFF	PIDI IN	Aditya Mathur
	Pola Orbis HD	PORBF	4927 JP	Kentaro Hosoda
	Sapphire Foods	XLQLF	SAPPHIRE IN	Aditya Mathur
	Sapporo Holdings	SOOBF	2501 JP	Manabu Sumoge
	Seria	SAOGF	2782 JP	Arashi Nishizawa
	Shanghai Jahwa	SNJUF	600315 CH	Lucy Yu
	Shanghai M&G Stationery	XBHUF	603899 CH	Yoyo Pang
	SHIMAMURA	SHAOFG	8227 JP	Arashi Nishizawa
	Smoore	SMORF	6969 HK	Alice Ma
	United Breweries	UBWRF	UBBL IN	Aditya Mathur
	Want Want China	WWNTF	151 HK	Chen Luo, CFA
	WORKMAN	WKISF	7564 JP	Arashi Nishizawa
	Yihai Intl	YNNHF	1579 HK	Lucy Yu
	Yihai Kerry Arawana	XYIHF	300999 CH	Jack Chen

iQmethodSM Measures Definitions

Business Performance

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

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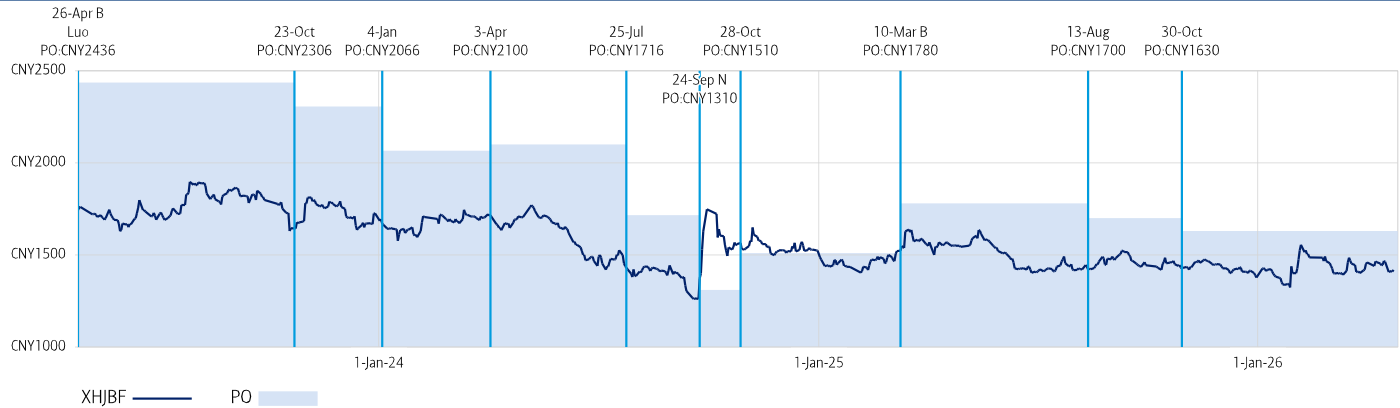
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Kweichow Moutai (XHJBF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Equity Investment Rating Distribution: Beverages - Alcoholic Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	17	45.95%	Buy	10	58.82%
Hold	6	16.22%	Hold	5	83.33%
Sell	14	37.84%	Sell	6	42.86%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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